

Welcome to the Conduct Risk: Delivering Customers' Expectations training

 Click the START button to begin the course.

START





By the end of this course, you will be able to:

- Describe the definition of Conduct Risk.
- Explain the Conduct Risk framework and Conduct Risk Policy.
- Apply Customer Conduct Standards in all customer interactions.
- Explain the Conduct Risk management cycle and the key control mechanisms used to manage Conduct Risk.
- Explain your roles and responsibilities in preventing Conduct Risk.

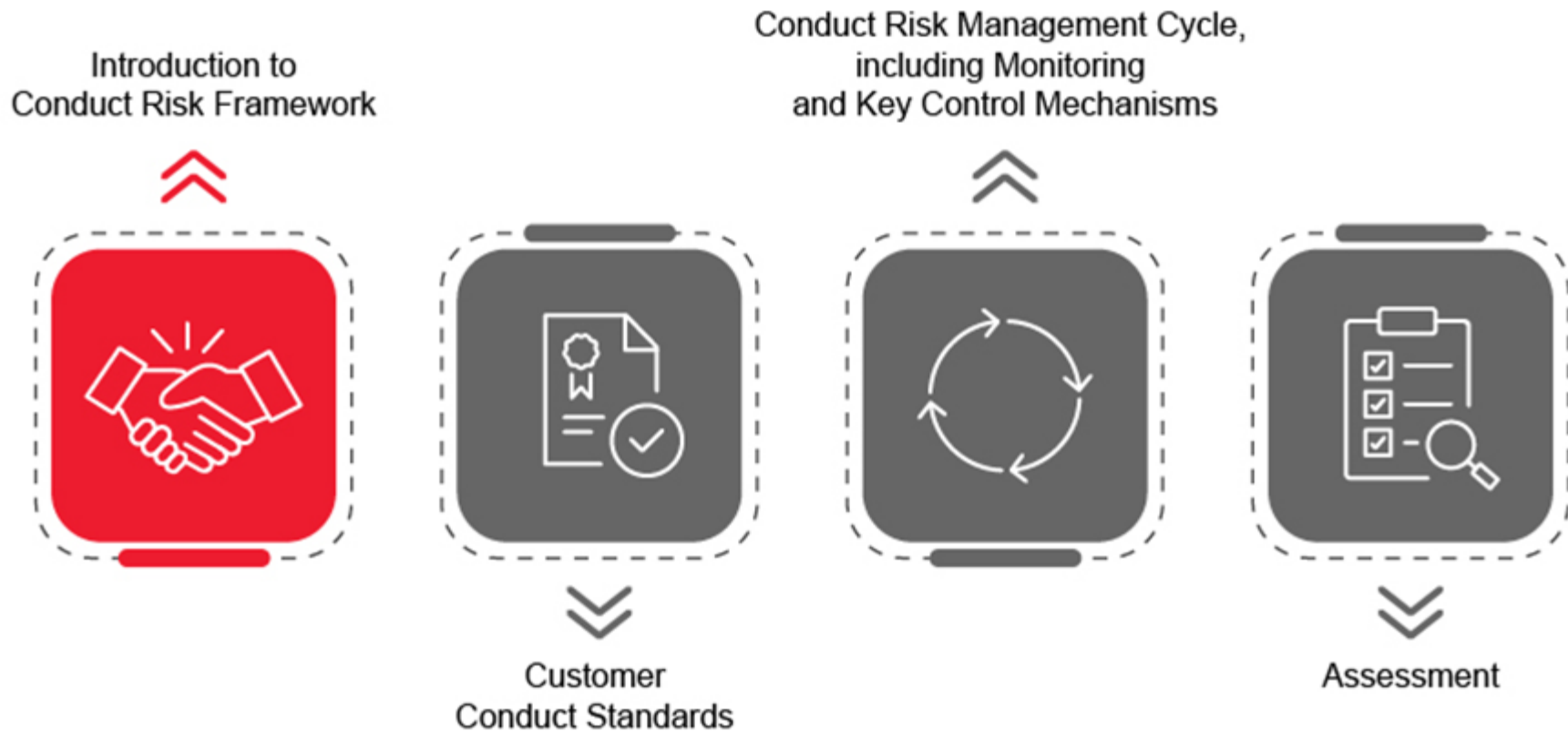


 Click Next to continue.



This is the main menu. You can return here from any point in the course by clicking the home icon at the bottom of the screen.

i Click the highlighted module to continue.





Meet Ryan, our customer excellence trainer. He ensures that all agents, customer service staff, and support officers deliver high-quality service to customers.



Click the arrow to continue.



Hello, I provide the required training to the in-service and newly recruited employees to put our customer's needs first and to improve their experience.



 Click the arrow to continue.





Ryan receives a call from the ERM Compliance Department. Let's find out what it's about.



LOGO

'COMPANY NAME'

Introduction to Conduct Risk

What is Conduct Risk?

Hi Ryan, we've reviewed the issues related to the business conduct of our five newly hired agents and customer service staff. I've sent the details to you by email.

 Click the arrow to continue.

LOGO

'COMPANY NAME'

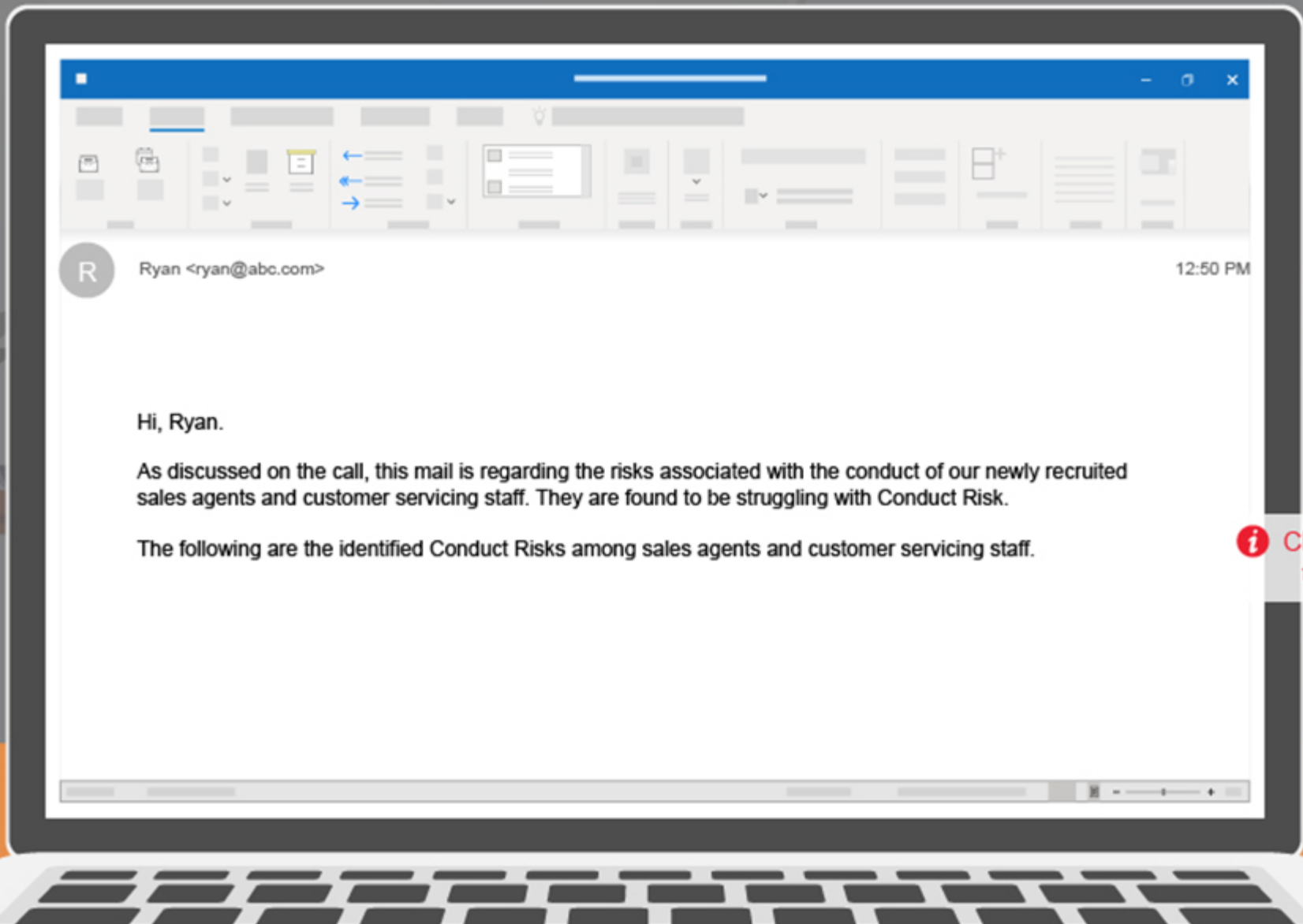
Introduction to Conduct Risk

What is Conduct Risk?

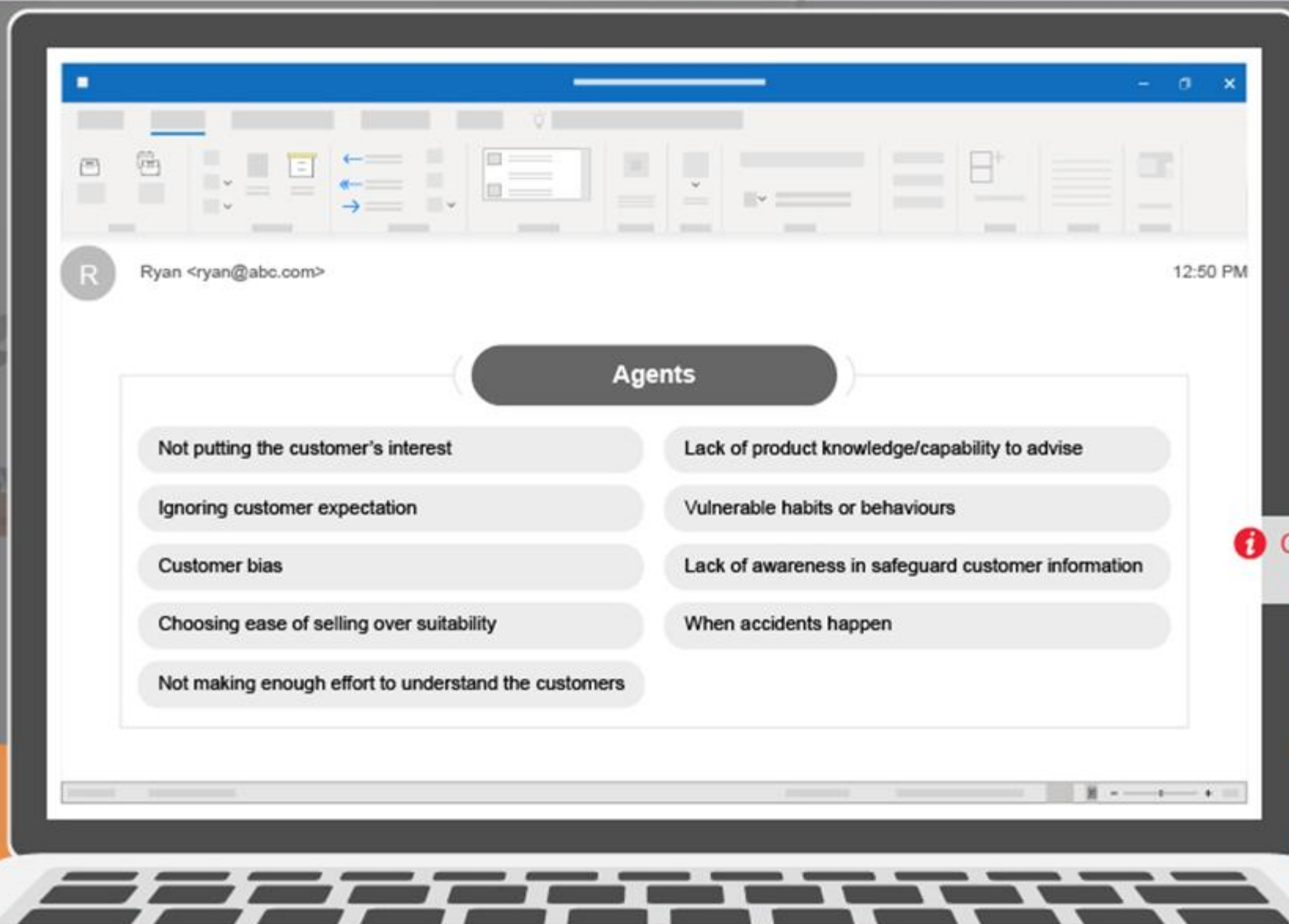
Thanks Amanda! Let me go through it.

 Click the mail icon to see what's in the mail.





Click the arrow to continue.



Click the arrow to continue.



R Ryan <ryan@abc.com> 12:50 PM

Customer Servicing Staff

- Wrongly interpreted customer expectations due to evolvement of technologies
- Showing a lack of empathy
- Wrong attitude in supporting end-to-end experience
- Any issues that not meeting customers' expectations may cause customer complaints, - e.g. poor services, unprofessional behaviours, poor product outcomes, rejected claims, sales misconduct, etc.

Click Next to continue.



These are very serious concerns pertaining to the conduct of an insurance agent or a customer service staff. Given the importance of their role, it is imperative that they observe the highest standards of ethics in their conduct.



Ryan schedules a meeting with the concerned agents and internal staff to discuss the identified conduct issues and the expected practices which they need to exercise while serving a client.



Welcome all. Thanks for joining the meeting.

The agenda of this ad hoc meeting is to discuss the identified gaps to put the customer's needs first and also the standard practices to improve customer experience.



Click the arrow to continue.





Thanks, Ryan. In fact, we are curious to learn if there are any provisions to safeguard the interest of customers.



Click the arrow to continue.





Before I get into the assessment of current conduct risks, I'd like take you over some fundamental ideas/concepts pertaining to Conduct Risk management.



i Click the icon to learn about Conduct Risk.





What is Conduct Risk?

Conduct Risk can be defined as the risk to customers, and the resulting impact on stakeholders, that arises when a company or its intermediaries conduct business in a way that does not ensure fair treatment of customers at any stage of the service or product lifecycle.



Close

Customer Conduct Standard One – Treat customers fairly, honestly and with integrity – ensures that all customers are treated fairly in every aspect of our business.

i Click the buttons to learn more.

What does this mean?

Why Things Go Wrong?

How to Avoid Poor Conduct?



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What does this mean?

Why Things Go Wrong?

How to Avoid Poor Conduct?

You should assess customers' needs and circumstances and understand their perspectives before advising them on an appropriate product. To meet customers' needs, take appropriate action which may include designing the right product/process or train the staff and agents to treat customers fairly.

While serving customers, deliver appropriate servicing standards to customers regardless of their background, profiles, and with no discrimination.



Customer Conduct Standards**Customer Conduct Standard – 1: Treat Customers Fairly, Honestly and with Integrity**

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What does this mean?**Why Things Go Wrong?****How to Avoid Poor Conduct?**

Sales representatives fail to provide quality customer service because they:

- do not put the customer's interest first;
- ignore customer expectation; and
- show customer bias.



Customer Conduct Standard One – Treat customers fairly, honestly and with integrity – ensures that all customers are treated fairly in every aspect of our business.

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What does this mean?

Why Things Go Wrong?

How to Avoid Poor Conduct?



Here are some examples of poor conduct practice and the standard practice to improve the customer conduct service.

Example 1: When intermediaries do not explain the free look period or the impact of not disclosing all health conditions that may cause to get rejected the customers' claims.

Standard practice: Sales representative should fully disclose all product details to the customer.



i Click the arrow to continue.

Andy is an insurance agent for Xtra Insurance company. The sales team of the company is trying hard to increase the sale of a not so popular professional indemnity insurance product – Product B. The sales manager introduces some lucrative perks for the sales team to increase the sale of Product B.

Here is your chance to win an all-expense paid trip to Europe. Just go for Product B!



i Click the arrow to continue.



Q. How should Andy act in this scenario to be an ethical agent?

i Select the correct option, and then click Submit.

- ☐ Andy should recommend Product B to the client as this sale will help bring business for Product B. Also, Product B will be also fulfill the client's need for having a professional indemnity insurance for his firm.
- ☐ Andy should go back to his manager and discuss how he is proactively increasing the sales of Product B.
- ☐ Andy can act ethically simply by presenting both options to Mr. Yan. He need not to press for Product B. He should help the client make conscious decision based on his needs.
- ☐ Andy should present both options to Mr. Yan and recommend Product B to Mr. Yan.

Submit



Q. How should Andy act in this scenario to be an ethical agent?

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Sales representative should fully disclose all product details to the customer. During sales process, they should not misrepresent product features, coverage, and key risks and provide enough information on products so that a customer can make an informed decision.

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